CityU

01 / WORK INCENTIVES

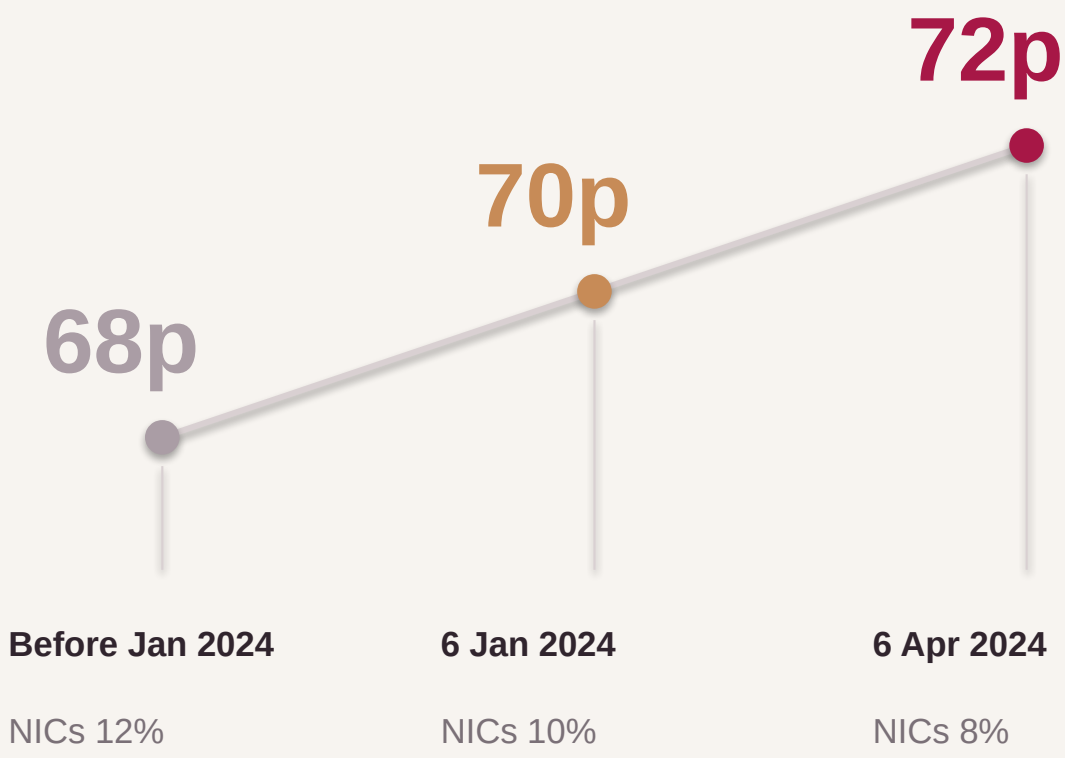
A stronger return to work.

Less tax on the next pound.
A higher reward for extra work.

+5.9%

Combined rise in marginal take-home pay
(72 − 68) / 68 × 100

KEPT FROM EACH ADDITIONAL £1



Source: HMRC (2024); author's calculations. 20% income tax; main NICs band.

02 / LABOUR SUPPLY

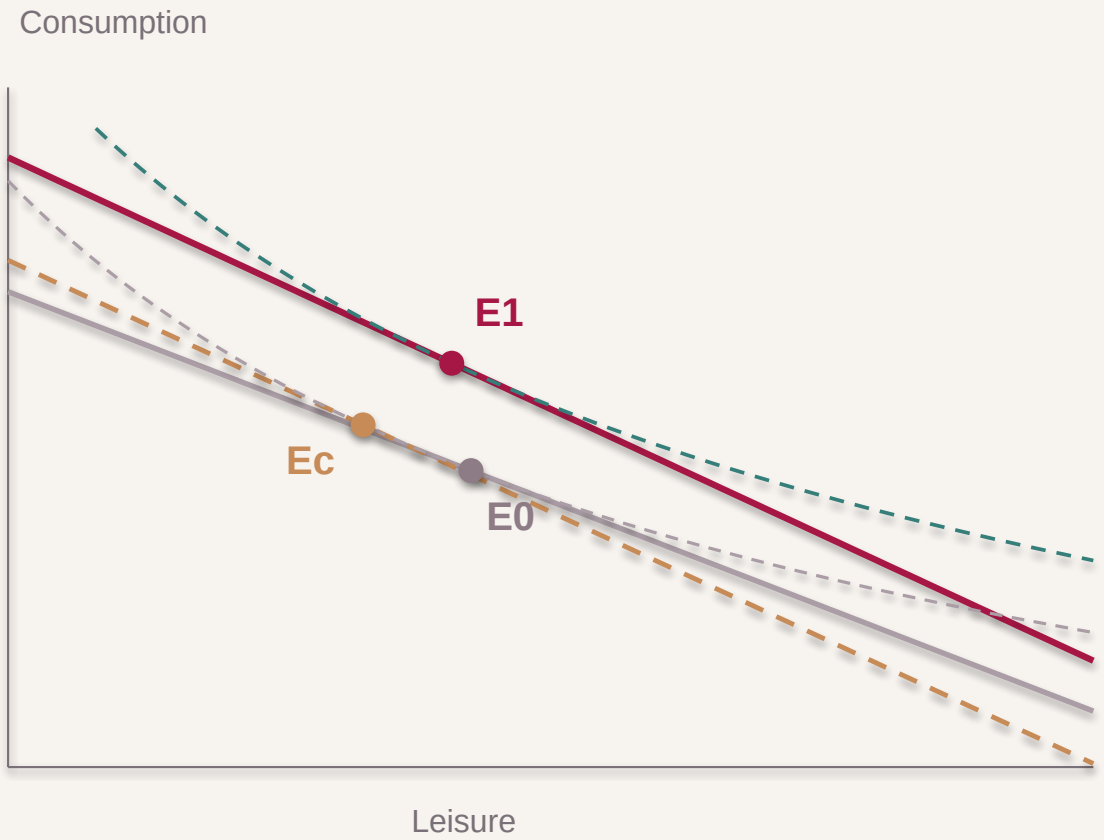
One tax cut. Two responses.

A **Substitution effect**

Leisure costs more → more work

B **Income effect**

Higher income → more leisure



E0 → Ec: substitution / Ec → E1: income

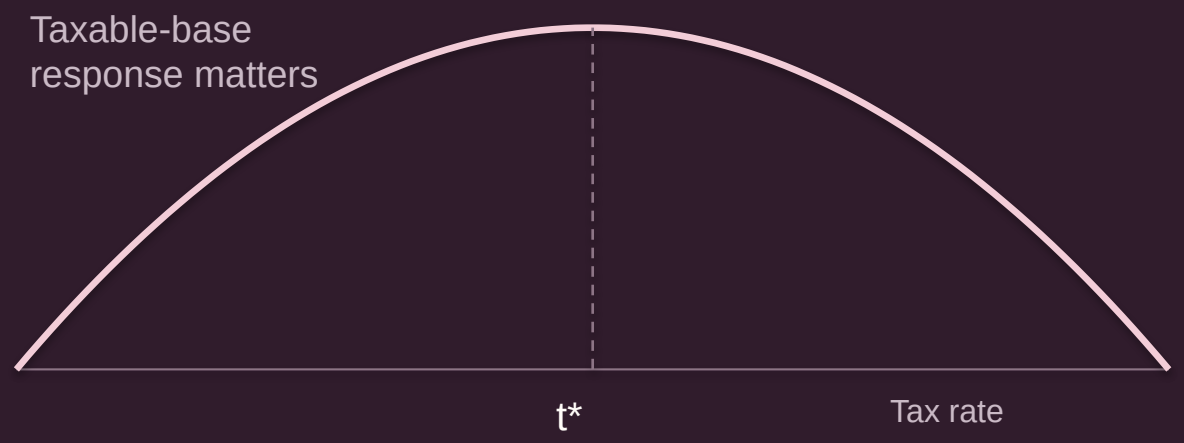
Participation and working hours are distinct decisions.

Source: Meghir and Phillips (2010). Theoretical illustration.

03 / REVENUE & EFFICIENCY

Growth recovers part of the cost.

THE LAFFER CURVE / R = tB(t)



OBR / MARCH 2024 FORECAST

98,000

Additional labour supply
in full-time equivalents

≈20%

of the static fiscal cost
recovered through behaviour

Sources: Hemming and Kay (1980); OBR (2024), paras. 3.9–3.10. Laffer curve: theoretical illustration.